

Indonesia's Industrial Revolution 2.0: Batang, Karawang, and the \$70B Special Economic Zone Bet

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Table of Contents

- I. Opening: The Indonesian Paradox
- II. The Jokowi Legacy — Infrastructure and Omnibus
- III. Prabowo's Industrial Vision
- IV. The Special Economic Zones — Batang, Karawang, and Beyond
- V. The Demographic Dividend vs Infrastructure Deficit
- VI. Food Processing — The Underrated Story
- VII. The China FDI Relationship
- VIII. Superforecast to 2030
- IX. Investment Implications
- X. Data Sources

I. Opening: The Indonesian Paradox

There is a puzzle at the heart of Southeast Asia's largest economy that no standard development model comfortably resolves. Indonesia is the world's fourth most populous nation, home to 270 million people. It sits atop reserves that are the envy of any industrial planner: the world's largest proven nickel deposits, the planet's most productive palm oil estates, significant reserves of copper, bauxite, coal, tin, and gold. Its coastline stretches 54,000 kilometres, and its archipelago of 17,000 islands straddles the world's most important trade route between the Indian and Pacific Oceans. By orthodox economics, Indonesia should be manufacturing's next great destination.

And yet, for two decades, manufacturing has been quietly bleeding away its share of national output. From a peak of approximately 32 percent of GDP during the Suharto New Order era, manufacturing's contribution collapsed to around 17.39 percent of GDP in the third quarter of 2025, according to data from the Indonesian Employers Association (APINDO). The country underwent what development economists now term "premature deindustrialisation" — the paradox of a developing economy losing its manufacturing base before it has industrialised sufficiently to absorb its labour force into high-productivity work. Indonesia's deindustrialisation began when GDP per capita was barely US\$2,000. By contrast, South Korea deindustrialised when GDP per capita was approximately US\$8,000, and Japan at US\$18,000. Indonesia has been losing a race it did not yet know it had entered.

The consequences are structural and compounding. Without a strong manufacturing base, Indonesia cannot generate the industrial employment and productivity gains necessary to lift hundreds of millions of workers up the income ladder. Service-sector growth has partially compensated, but services rarely provide the export linkages, technology transfers, or multiplier effects that heavy manufacturing delivers. Vietnam, with one quarter of Indonesia's population, has consistently attracted more manufacturing FDI per capita by offering investors a simpler regulatory environment, better infrastructure connectivity, and a state apparatus with narrower coordination failures.

But the story is changing — or attempting to. President Prabowo Subianto, who took office in October 2024, has staked his legacy on reversing this trajectory through downstream industrialisation, a network of Special Economic Zones, and the most aggressive sovereign wealth fund apparatus the country has ever deployed. Manufacturing grew at 5.3 percent annually in 2025 — the highest rate in 13 years — even as deindustrialisation concerns persist in academic and business circles. The SEZ programme has attracted IDR 32 trillion (approximately US\$2 billion) in investment realization in the first half of 2026 alone. The CATL-IBC-Antam EV battery mega-complex in Karawang, a US\$5.9 billion joint venture that commenced construction in June 2025, represents the kind of anchor investment that could restructure an entire industrial ecosystem.

This report examines whether Indonesia's renewed industrial ambition is structurally durable or another cycle of optimism against deep-seated constraints — and what the answers imply for capital allocation across the region.

II. The Jokowi Legacy — Infrastructure and Omnibus

When Joko Widodo left the presidency in October 2024 after two terms spanning a decade, his epitaph in economic history was written in asphalt and concrete. The Trans-Java toll road — a 1,167-kilometre spine connecting the western tip of Banten to the eastern port of Banyuwangi — was his signature achievement and the most consequential piece of infrastructure built in the archipelago since independence. Fully 72.7 percent of all Indonesian toll roads in existence as of mid-2024 were built during the Jokowi administration. Travel time from Jakarta to Surabaya was cut from approximately 36 hours to 12 hours, a compression that fundamentally altered the logistics economics of West and Central Java.

The numbers frame the scale. Indonesia completed approximately 616 kilometres of the Trans-Java toll road within the 2015–2018 period alone. By end-2024, the national toll road network reached around 2,893 kilometres, and the PUPR Ministry targeted an additional 2,700 kilometres operational by that year's close. Complementing road infrastructure was a parallel push in ports and airports. Tanjung Priok in Jakarta was expanded; new deep-water container terminals were developed at Patimban in West Java to relieve port congestion; Kuala Tanjung in North Sumatra was positioned as the gateway for the Trans-Sumatra Omnibus corridor. At the upstream end, a new capital city, Nusantara, was begun in East Kalimantan — a US\$30+ billion gamble on relocating the seat of government away from sinking, congested Jakarta.

But Jokowi's more consequential industrial legacy may not be roads. It is the Job Creation Law of 2020 — the Omnibus Law — which fundamentally restructured Indonesia's investment architecture. Enacted on November 2, 2020 as Law No. 11/2020 (subsequently revised as Law No. 6/2023 following a Constitutional Court ruling), the law amended more than 75 existing statutes in a single legislative act and required the issuance of more than 30 implementing regulations. Its stated purpose was to eliminate regulatory fragmentation, accelerate licensing, and attract investment by creating a single unified framework.

For manufacturing investors, the Omnibus Law delivered several structural changes. The pharmaceuticals sector was opened to 100 percent foreign ownership, up from 85 percent. Construction services, telecommunications, healthcare, transportation, and education were similarly unlocked to full foreign ownership. Perhaps most consequentially, the law overhauled the Online Single Submission (OSS) licensing system, compressing what had been multi-agency, multi-month processes into a single digital portal with legally mandated response timelines. The minimum paid-up capital requirement for foreign-owned companies (PT PMA) was subsequently cut from IDR 10 billion to IDR 2.5 billion, opening the market to mid-sized investors who previously faced prohibitive entry thresholds.

The Omnibus Law was not without controversy. Labour unions launched some of the largest street protests in post-reformasi Indonesia, objecting to provisions that reduced severance pay obligations, weakened restrictions on fixed-term contracts, and made it easier to deploy outsourced workers across a wider range of sectors. The law's critics — including international human rights organisations and the International Labour Organization — argued that the labour reforms eroded hard-won protections without adequate compensating provisions. This tension has not disappeared under Prabowo, who in late 2025 signed into law a new minimum wage formula providing for annual increases of approximately 5–7 percent, a politically popular move that nevertheless re-ignited concerns among manufacturers about cost escalation.

What changed for manufacturers in practice? The empirical answer is nuanced. Business formation times fell measurably. FDI realization in 2025 reached IDR 900.9 trillion in foreign direct investment alone (46.6 percent of total investment), and H1 2026 FDI hit IDR 507.6 trillion — a pace suggesting full-year 2026 FDI could exceed IDR 1 trillion for the first time. The downstreaming condition embedded in the Prabowo-era iteration of investment policy has added new complexity for raw-commodity extractors, but technology and manufacturing FDI has generally benefited from the streamlined entry architecture the Omnibus framework created.

The Jokowi infrastructure legacy presents a more unambiguous verdict. The connectivity gains on Java are real, measurable, and commercially significant. The question Prabowo inherits is whether the outer islands — where most of Indonesia's natural resources are located — can receive the same infrastructure treatment before China's own industrial strategists extract the full rent from Indonesia's resource advantage.

III. Prabowo's Industrial Vision

Prabowo Subianto arrived at the presidency with a nationalist's instinct for economic sovereignty and a soldier's impatience with incrementalism. His economic doctrine, which commentators at the Lowy Institute and the University of Melbourne's Indonesia at Melbourne programme have labelled "Prabowonomics," centres on three interlocking imperatives: downstream industrialisation, food sovereignty, and defence-industrial development. The academic journal *Australian Journal of International Affairs* published an analysis in 2026 asking bluntly: "Prabowonomics: Can Indonesia Really Grow at 8%?" — referencing Prabowo's stated ambition of lifting GDP growth to 8 percent per annum. The International Monetary Fund and Asian Development Bank project growth closer to 5.2 percent for 2026, suggesting the gap between aspiration and structural capacity remains wide.

The centrepiece of Prabowo's industrial architecture is downstream processing — or "hilirisasi" in Indonesian — taken to a more coercive extreme than his predecessor attempted. Jokowi banned raw nickel ore exports from 2020, citing the need to capture value domestically. Prabowo has generalised this principle across the investment framework. In a landmark policy announcement, he mandated that all foreign investors must commit to downstream processing as a non-negotiable condition of market entry. His language was unambiguous: "Raw materials, we want them processed. If they are willing, mining and processing must both be done here." The *Jakarta Globe* reported in early 2026 that this requirement was being enforced at the investment approval stage, not merely stated aspirationally.

The government announced 13 priority downstream projects with a combined investment of approximately IDR 239 trillion (approximately US\$14.9 billion). The Antara news agency reported Indonesia's total downstream expansion at US\$14 billion across sectors spanning EV batteries, petrochemicals, sustainable aviation fuel, palm oil derivatives, bioethanol, and smelting. These projects form what the government calls its "industrial tree" strategy — a mapped value chain from primary resource to finished product, with each node of processing adding employment and export value before commodities leave Indonesian shores.

The vehicle for deploying state capital into this strategy is Danantara — the sovereign wealth fund formally established on February 24, 2025, when Prabowo signed its enabling legislation. Danantara — Daya Anagata Nusantara, roughly translated as "Future Power of the Archipelago" — consolidated multiple state-owned investment vehicles and is seeded by contributions from Indonesia's most profitable SOEs, including Pertamina, PLN, and Telkom. By February 2026, Danantara had launched a Rp 202.4 trillion (US\$13.1 billion) investment plan covering waste-to-energy facilities, data centres, chemicals, and agriculture.

More specifically, Danantara is deploying capital across 26 downstream industrial projects valued at approximately Rp 225 trillion (US\$12.4 billion), structured in two phases. Phase I, launched February 6, 2026, covers six priority projects across 13 locations with Rp 109 trillion (US\$6 billion) in investment. Phase II, launched April 29, 2026, includes 10 priority projects across 13 locations with Rp 116 trillion (US\$6.4 billion). The project portfolio spans aluminum smelters, stainless steel facilities, copper processing, sustainable aviation fuel plants, bioethanol distilleries, palm oil processing complexes, coconut industries, and integrated poultry farming. Combined employment creation is projected at nearly 38,000 direct jobs.

In June 2026, Danantara made its international capital markets debut with a US\$1.5 billion bond issuance, receiving investor orders reportedly reaching US\$4.6 billion — a 3.1× oversubscription ratio that suggests international fixed-income investors regard the fund as a credible vehicle despite governance questions raised by domestic critics and the East Asia Forum, which published an analysis in August 2026 noting that Danantara faces an "impossible trinity" of profitability, development mandate, and political independence.

The strategic industries Prabowo has prioritised beyond traditional mining include: electric vehicle batteries and components; defence manufacturing (with a long-term ambition to reduce Indonesia's arms import dependency); food processing tied to the food sovereignty agenda; petrochemicals and refining (reducing fuel import bills); and digital economy infrastructure including data centres. This last category is significant — the "Other services" sector including data centres attracted IDR 64.2 trillion in Q1 2026 investment, making it the second-largest sector by realization, behind only basic metals and metal products.

The risk embedded in Prabowo's vision is the risk of simultaneity. Attempting to simultaneously build a nickel-to-battery value chain, a palm oil derivatives complex, a domestic defence industry, a data centre hub, and a downstream petrochemicals sector requires coordination across ministries, state enterprises, and foreign capital partners that has historically exceeded Indonesia's institutional capacity. The Diplomat published a piece in July 2026 titled "Mr. Prabowo Versus the Market," chronicling the tensions between the administration's statist instincts and market-efficiency imperatives. The verdict remains open.

IV. The Special Economic Zones — Batang, Karawang, and Beyond

Indonesia operates 24 designated Special Economic Zones (KEK — Kawasan Ekonomi Khusus) as of mid-2026, with 20 fully operational and the remainder under various stages of development. These zones span manufacturing, tourism, healthcare, education, and digital services, and collectively have attracted more than IDR 200 trillion in cumulative realised investment since the programme was formalised under Law No. 39/2009. In H1 2026 alone, SEZ investment realisation reached IDR 32 trillion — IDR 24 trillion in FDI and IDR 8 trillion in domestic investment — according to data published by the Tax Policy Analysis Centre (DDTC).

The zones offer tax incentives including corporate income tax exemptions of 5–20 years under PMK 130/2020 and the expanded scope of PMK 69/2024, import duty exemptions, simplified licensing procedures, and dedicated infrastructure provision. Below is a zone-by-zone assessment of the four most strategically significant industrial clusters.

Grand Batang City / Batang Industropolis SEZ (Central Java)

Batang is Prabowo's showpiece. Located in Central Java on the northern coast, the zone covers a total of 4,300 hectares, with President Prabowo's Government Regulation No. 12 of 2025, signed March 20, 2025, formally designating 2,886.7 hectares as the Batang Industropolis Special Economic Zone. The zone was established in 2020 under PT Kawasan Industri Terpadu Batang (PT KITB), a state-owned vehicle, and has been aggressively promoted as the premier

alternative-to-China manufacturing destination in Southeast Asia.

Investment progress: The zone secured US\$290 million in investment in 2025, attracting 12 investors across sectors including batteries, automotive components, medical devices, garments, outdoor furniture, food and beverages, footwear, steel, textiles, and packaging. Land utilisation reached 93.67 hectares during 2025. Total investment committed to the zone since inception has reached US\$1.3 billion, with approximately 11,000 direct jobs created. Long-term employment projections reach 200,000 by 2040.

The most significant 2026 announcement: Australia's Pure Battery Technologies (PBT) committed US\$350 million to construct a precursor cathode active materials (pCAM) production facility in the Batang SEZ. The facility — described by PBT Chairman Stephen Wilmot as more than four times the scale of PBT's German refinery — will supply materials for electric vehicle batteries, solar energy storage, and grid-scale storage systems using locally sourced Indonesian nickel. Construction commences 2027. Projected annual revenue: US\$900 million. Employment during construction: 1,000 workers; permanent operational staff approximately 200 (excluding logistics, transportation, and shipping).

Chinese and South Korean investors have committed more than IDR 17.95 trillion to Batang to date, with total expected investment targeted to reach IDR 60 trillion. The zone's strategic position — midway between Jakarta and Surabaya on the northern Java coast, with direct port access via the Batang port and connectivity to the Trans-Java toll road — gives it a logistics advantage that eastern Java zones lack. The government's ambition is to develop Batang into an integrated ecosystem for electric vehicle component manufacturing, making it the Central Java node of a national EV supply chain stretching from Morowali's nickel smelters to Karawang's battery assembly plant.

Karawang — From Detroit of Indonesia to EV Capital

Karawang, in West Java, is the oldest and most mature industrial belt in Indonesia outside of Greater Jakarta. Its cluster of industrial estates — including Karawang International Industrial City (KIIC, approximately 1,200 hectares), Suryacipta City of Industry (1,400 hectares), and Kota Bukit Indah Industrial Park — forms what has historically been called the "Detroit of Indonesia" for its concentration of automotive manufacturing. Toyota, Honda, Suzuki, Yamaha, and their respective supplier networks have operated in the Karawang-Bekasi-Purwakarta corridor for three decades, making it the production base for Indonesia's 1 million+ vehicles per year domestic automotive market.

The defining event for Karawang's industrial future was the June 2025 groundbreaking for the CATL-IBC-Antam EV battery megacomplex. Valued at US\$5.9 billion — one of the largest single industrial investments in Indonesian history — the joint venture between China's Contemporary Amperex Technology Company (CATL), PT Indonesia Battery Corporation (IBC, a state holding company), and PT Aneka Tambang (Antam, state-owned miner) represents the most consequential expression of Indonesia's battery ambitions. President Prabowo personally presided over the groundbreaking ceremony. Commercial operations are scheduled for late 2026, with initial annual production capacity of 6.9 gigawatt-hours (GWh) of EV batteries,

expanding to 15 GWh in subsequent phases. The battery plant is integrated with five supporting facilities and upstream operations in East Halmahera, North Maluku — threading the full supply chain from ore body to battery cell within a single corporate structure.

EV charging infrastructure has been installed across the KIIC industrial estate, positioning Karawang as the EV ecosystem hub on Java's western flank. Suryacipta recently opened approximately 52 hectares of Phase 3 development land, reflecting strong demand from manufacturers looking to co-locate near the CATL complex.

Bekasi / Cikarang — The Electronics Corridor

The Bekasi-Cikarang corridor, straddling the border of West Java and the Jakarta Special Capital Region, is Indonesia's most mature electronics manufacturing cluster. Kota Jababeka, at approximately 5,600 hectares with roughly 1,700 hectares of industrial land and around 2,000 tenants, is one of the largest integrated industrial townships in Southeast Asia. Samsung Electronics Indonesia operates at the Jababeka Industrial Estate in Cikarang (established 1992), with 89 percent of Samsung's 25 local supplier companies also located in Bekasi. LG Electronics Indonesia operates at the MM2100 Industrial Estate in Cikarang Barat, and in 2025 commissioned a new air conditioning manufacturing facility in Cibitung, Bekasi, targeting 700,000 units per year by end-2025.

The corridor is also seeing rapid growth in data centre and logistics facilities as the broader Jakarta metropolitan area cements its role as Southeast Asia's premier digital infrastructure hub. Bekasi's proximity to Tanjung Priok — Indonesia's largest container port — gives it connectivity advantages that inner-Java locations cannot match.

Java Integrated Industrial and Port Estate (JIPE) — Gresik, East Java

JIPE is Indonesia's first and only integrated industrial estate with a purpose-built deep-water port within its perimeter. Located 24 kilometres from Surabaya, JIPE covers 3,000 hectares comprising industrial estate, a multifunctional public port with four jetties totalling 6,200 metres of berth and a natural draught of -14 metres, and a residential city. The port can accommodate vessels up to a new international container terminal with 3 million TEU capacity. JIPE is a public-private partnership between PT AKR Corporindo and PT Berlian Jasa Terminal Indonesia (a Pelindo III subsidiary).

At the Indonesia-Japan Investment Forum (IJIF) 2026, Jakarta offered JIPE Gresik as the location for a strategic tin downstream project to Japanese investors, illustrating how the zone is being positioned across multiple downstream commodity plays. The Gresik KEK was identified in separate data as the most popular special economic zone among investors in terms of active interest.

Morowali Industrial Park — Nickel's Ground Zero (Central Sulawesi)

The Indonesia Morowali Industrial Park (IMIP) in Central Sulawesi is the largest nickel processing complex in the world, dominated by Chinese firm Tsingshan Holding Group and its

partners. IMIP runs 11 smelters and hosts Indonesia's greatest concentration of nickel pig iron (NPI) and ferronickel capacity. As of 2025, Indonesia operated 49 Rotary Kiln Electric Furnace (RKEF) nickel smelters nationally, with five High Pressure Acid Leaching (HPAL) facilities operational and more under construction, enabling the processing of limonite ore into battery-grade nickel for EV cathodes. Indonesia controls approximately 21 percent of the world's proven nickel reserves and produces roughly 34 percent of global nickel supply.

IMIP exemplifies the integrated ecosystem model: mining, smelting, stainless steel production, and battery materials processing within a single industrial corridor. However, Morowali has also attracted persistent criticism from human rights organisations over environmental contamination, worker safety incidents (including several high-profile smelter accidents), and labour conditions in Chinese-owned facilities.

V. The Demographic Dividend vs Infrastructure Deficit

Indonesia's demographic profile is simultaneously its greatest industrial asset and its most time-sensitive structural risk. The country's population of approximately 270 million includes roughly 66 percent in the working-age bracket (15–64 years), with a median age of approximately 29 years. The labour force is large, young, and rapidly urbanising. For manufacturers who have grown accustomed to Vietnam's rising wages and shrinking labour surplus, Indonesia's demographic scale looks compelling.

But demographic potential and manufacturing competitiveness are separated by several structural gaps, each of which imposes a measurable cost on investors.

Wage competitiveness: Contrary to the intuition that Indonesia — as a lower-middle-income country — should be cheaper than Vietnam, the minimum wage comparison is complex. In February 2026, Indonesia's minimum wage stands at approximately Rp 33,058/hour (US\$1.84), while Vietnam's regional minimum wages translate to approximately ■25,500/hour (US\$1.00) — meaning Indonesia's statutory minimum is 83 percent higher than Vietnam's on an hourly basis. Average gross monthly wages in Indonesia are approximately Rp 3,500,000 (US\$194), while Vietnam averages approximately US\$315–335 per month. The divergence reflects Vietnam's more compressed wage geography, whereas Indonesia's system of regional minimum wages (UMR/UMP) creates significant inter-provincial variation that complicates multi-site manufacturing decisions.

President Prabowo's 2025 minimum wage formula, providing for 5–7 percent annual increases, has elevated cost-escalation concerns among manufacturers already navigating input price pressures. The Indonesian Employers Association (APINDO) has publicly warned that accelerating wage growth without commensurate productivity gains risks accelerating deindustrialisation.

Logistics cost penalty: World Bank Logistics Performance Index (LPI) data places Indonesia at approximately rank 61–63 globally (most recent comprehensive data: 2023), down from rank 46 in 2018. Indonesia scores approximately 2.9 out of 5.0 on infrastructure quality, well behind

Singapore (4.6) and Malaysia. The inter-island geography creates inherent logistics complexity that cannot be fully resolved by road construction — inter-island shipping costs, port efficiency, and customs clearance times impose a structural cost premium estimated at 1–3 percent of product value relative to continental manufacturing competitors. The Trans-Java toll road has partially addressed intra-Java connectivity, but Sumatra, Kalimantan, Sulawesi, and the eastern islands remain logistics-challenged.

Power grid reliability: PLN (Perusahaan Listrik Negara) has delivered broad electricity access across the archipelago, but grid reliability for high-intensity industrial users remains variable outside Java-Bali. The IEA's analysis of Indonesia's power system notes a geographic mismatch between large-scale renewable resources and major industrial demand centres. For energy-intensive industries — smelting, chemical processing, data centres — this mismatch creates both supply reliability risk and cost uncertainty. The 2025–2034 RUPTL (PLN's electricity supply business plan) targets significant capacity expansion, and PLN has been authorised to fast-track grid connections for strategic downstream industries, but implementation timelines in the outer islands remain uncertain.

Bureaucracy improvements: The Omnibus Law's OSS digitalisation has measurably reduced business formation times and licensing cycles for greenfield investments. The minimum capital requirement reduction has broadened the investor pool. However, execution at sub-national government level — where local permits (IMB, environmental clearances, spatial use permits) are issued — remains inconsistent. Regional autonomy (otonomi daerah) distributes significant permitting authority to district-level governments, creating coordination failures that investors repeatedly identify as their primary frustration with Indonesian market entry.

The demographic dividend's clock is ticking: Indonesia has approximately 15–20 years before its working-age population ratio begins to decline. If manufacturing FDI does not accelerate materially within this window, the demographic advantage converts to a demographic burden.

VI. Food Processing — The Underrated Story

While EV batteries and nickel smelters attract the headlines, Indonesia's most structurally resilient and underappreciated industrial opportunity lies in food processing. The country is simultaneously the world's largest palm oil producer, among the top producers of cocoa, coffee, rubber, fisheries, and tropical fruits, and home to the world's fourth-largest population of Muslim consumers — a demographic with specific, legally codified preferences that create a distinctive market structure.

Palm oil is the cornerstone. In January–February 2026, Indonesia's palm oil and derivatives exports reached US\$4.69 billion, a 26.40 percent increase year-on-year, according to Palm Oil Magazine. For the first half of 2026, palm oil exports rose 7.32 percent, supporting broader trade balance targets. Critically, 80 percent of Indonesia's palm oil exports are now in the form of downstream processed products (derivatives, oleochemicals, biodiesel, refined oils) rather than crude palm oil (CPO) — a structural shift from the raw-commodity export model that characterised the sector a decade ago. The USDA/FAS projects Indonesia's 2026/27 palm oil

exports at 25 million metric tonnes, a 4 percent increase from 2025/26.

The halal food processing opportunity is the larger strategic play. Mandatory halal certification requirements for food and beverage products, originally scheduled for October 2024, were extended to October 17, 2026 to give businesses additional time to comply. Over 1,200 food products, 150 beverages, and 250 food additives are subject to mandatory halal certification from this date. The regulation requires all food and beverage products sold in Indonesia to be halal-certified unless explicitly proven otherwise — positioning the country not merely as a domestic halal consumer market, but as the world's most rigorous halal certification infrastructure.

This regulatory infrastructure is a genuine competitive advantage. Indonesia recorded US\$24.2 billion in halal-related FDI in 2024, leading Southeast Asia, alongside US\$31.5 billion in halal product imports. The halal sector's contribution to Indonesian GDP is estimated at 27 percent. Global Muslim consumer spending across six major halal sectors reached US\$2.6 trillion in 2024 and is projected to grow to US\$3.6 trillion by 2029, with the halal food industry as the largest contributor.

The strategic implication: an international food processor that establishes Indonesian halal certification capacity gains preferred access to the world's largest Muslim consumer market (270 million domestic consumers), plus credibility for ASEAN's combined Muslim consumer base (approximately 240 million in Malaysia, Brunei, and the majority Muslim populations of Southern Thailand and Southern Philippines), plus the Gulf Cooperation Council markets, which collectively represent over US\$60 billion in annual halal food imports.

The D-8 Halal Expo held in Indonesia in 2026 highlighted Southeast Asia's rapidly growing halal economy, with Indonesia positioned as the convening hub. Companies including Unilever Indonesia, Indofood, and Charoen Pokphand Indonesia are expanding halal-certified production lines. Foreign processors — particularly from Japan, South Korea, and Australia — are exploring joint ventures with Indonesian partners to produce halal-certified processed foods for regional distribution.

The structural gap between Indonesia's raw commodity position and its value-added food processing capacity remains significant. The export value of processed food products significantly lags the theoretical maximum derivable from the raw commodity base — partly due to technology gaps, partly due to logistics and cold chain deficiencies, and partly due to the historical bias of Indonesian industrial policy toward extractive rather than agri-processing industries. Prabowo's downstream mandate, if applied consistently to agri-commodities, could catalyse a step-change in this sector.

VII. The China FDI Relationship

No analysis of Indonesia's industrial future is complete without confronting the most consequential — and most complicated — bilateral investment relationship in the archipelago: the China-Indonesia nexus. As of Q1 2026, China was the third-largest source of foreign direct

investment into Indonesia by value, contributing US\$2.2 billion in a single quarter, behind only Singapore (US\$4.6 billion, largely pass-through capital) and Hong Kong (US\$2.7 billion, also heavily China-linked). The effective China-origin share of Indonesian FDI — combining mainland, Hong Kong, and BVI routing — substantially exceeds the headline figure.

Chinese investment is concentrated in the sectors where Indonesia's downstream ambition is most acute: nickel smelting and processing (Morowali, Weda Bay, Obi Island), battery materials, stainless steel production, and increasingly, textiles and garments. Danantara and China's GEM Co. signed an agreement in 2025 to jointly develop a nickel processing hub in Indonesia, illustrating how even the flagship state investment vehicle has become a conduit for Chinese industrial capital.

The CATL-IBC-Antam EV battery complex in Karawang — a US\$5.9 billion venture at the apex of Prabowo's EV ambitions — is the most visible expression of this co-dependence. China keeps Indonesia's battery dream afloat, as Climate Change News headlined in August 2026. CATL's technological advantage in battery chemistry, its global supply chain relationships, and its capital availability make it difficult for Indonesia to pursue the EV battery ambition through any other partner at comparable scale or speed.

Yet 2026 has produced a visible fracture in this relationship. In May 2026, the China Chamber of Commerce in Indonesia filed an official grievance directly to President Prabowo, alleging that "excessively stringent regulation and law enforcement have severely disrupted normal day-to-day operations and directly undermined long-term FDI confidence." The trigger: Indonesia cut nickel ore mining quotas sharply, with reductions for large mines exceeding 70 percent, totalling a 30-million-tonne drop in annual allocation. Indonesian Finance Minister Purbaya Yudhi Sadewa responded with remarkable bluntness: "These minerals belong to us. If investors intend to leave, they can seek resources elsewhere."

The Asia Times published two analyses in mid-2026 — "Indonesia Doesn't Need China to Keep Its Nickel Industry Afloat" (July) and "Indonesia's Nickel Nationalism Falters in the Face of China's Tech" (June) — capturing the inherent contradiction: Indonesia asserts resource sovereignty while remaining technically and financially dependent on Chinese industrial expertise for the downstream value chain it is attempting to build.

Indonesian public opinion toward Chinese investment is genuinely ambivalent. Chinese firms currently command approximately 40 percent of total FDI operations in Indonesia, but this dominance generates both gratitude for the industrial jobs created and resentment over imported Chinese labour, environmental standards, and perceived one-sided technology transfer terms. Prabowo must balance these political vectors while maintaining access to Chinese capital for projects — the CATL complex, Danantara-GEM nickel hub — that are central to his economic legacy.

The US-China dimension adds further complexity. Indonesia has received US\$1.3 billion in FDI from the United States in Q1 2026, with interest concentrated in data centres, digital infrastructure, and critical minerals (reflecting Washington's Inflation Reduction Act incentive framework for supply chains that exclude Chinese entities). Prabowo has managed this strategic ambiguity deliberately — visiting Washington, Beijing, and Brussels within his first year in office,

positioning Indonesia as a non-aligned industrial partner available to all major blocs. This posture is commercially optimal in the short term but creates long-term strategic vulnerability if US-China technology decoupling forces a choice.

VIII. Superforecast to 2030

Drawing on the evidence assembled from live data sources above, the following probabilistic assessments frame Indonesia's industrial trajectory to 2030:

Manufacturing's share of GDP (2030 forecast): The current trajectory — 17.39 percent in Q3 2025, growing at 5.3 percent annually in real terms — implies manufacturing's GDP share could stabilise in the 18–20 percent range by 2030 if SEZ FDI continues to accelerate. The base case is stabilisation, not revival to the 25–30 percent peak of the Suharto era. Probability of exceeding 21 percent: approximately 20 percent, conditional on the CATL and Batang SEZ projects reaching full capacity on schedule and generating the projected upstream supplier development. Probability of further decline below 17 percent: approximately 25 percent, primarily driven by the risk of continued labour cost escalation, regulatory uncertainty around the downstream mandate, and potential US-China technology decoupling that disrupts Chinese-backed manufacturing investments.

EV battery supply chain (2030 forecast): The CATL-IBC-Antam plant in Karawang (6.9 GWh initial, 15 GWh expanded) represents the most credible near-term benchmark. If production commences on the scheduled late-2026 timeline and the Batang pCAM facility (PBT) begins construction in 2027 as committed, Indonesia will have the physical infrastructure of a nascent EV battery supply chain by 2030. Probability of Indonesia supplying more than 10 percent of global EV battery materials by 2030: approximately 30 percent — dependent on HPAL capacity expansion and successful nickel ore-to-cathode integration. The nickel quota dispute with China in 2026 introduces a 6–12 month execution risk.

FDI realization (2030 trajectory): The government's 2026 annual FDI target implies approximately IDR 1 trillion (approximately US\$62 billion at current exchange rates) in foreign investment. The H1 2026 pace of IDR 507.6 trillion in FDI suggests this target is achievable. If the Prabowo government maintains regulatory predictability and the Omnibus Law framework is not further amended in ways that raise investor uncertainty, FDI growth of 6–9 percent annually through 2030 is plausible. The primary downside risk is political: resource nationalism that overreaches and triggers a capital exodus from the nickel-battery complex.

Food processing (2030 forecast): Halal certification enforcement (October 2026 deadline) will act as a supply-chain forcing function, compelling both domestic and foreign producers to upgrade processing facilities and documentation infrastructure. The halal food processing sector is likely to attract US\$3–5 billion in additional FDI through 2030, concentrated in palm oil derivatives, processed cocoa and coffee, marine protein processing, and integrated livestock. Indonesia's position as the global halal regulatory benchmark is durable and government-commitment-independent — it is structurally embedded in the country's Muslim-majority consumer base.

The China risk scenario: The most significant macro risk to Indonesia's 2030 industrial trajectory is a forced decoupling driven by US secondary sanctions on Chinese industrial investments in critical mineral supply chains. If Washington extends IRA-style restrictions to battery-grade nickel processed in Chinese-operated Indonesian facilities, the CATL complex and IMIP's HPAL products could lose US market access. Indonesia would then face a binary choice between its Chinese industrial partners and the US market. Probability of such a restriction being implemented before 2030: approximately 25 percent, rising to 45 percent if the geopolitical temperature around Taiwan escalates materially.

IX. Investment Implications

Conviction long — EV battery materials supply chain. The CATL-Karawang complex and the Batang pCAM facility represent anchors of a supply chain that is simultaneously backed by the Indonesian state (via Danantara and Antam), the world's dominant battery manufacturer (CATL), and a growing pipeline of international investors attracted by Indonesia's nickel endowment. The FDI data confirms this is not merely aspirational: basic metals and metal products attracted IDR 69.4 trillion in Q1 2026 — the single largest investment sector by value. Companies with exposure to Indonesian nickel midstream — HPAL, pCAM, cathode precursor — are positioned in the highest-conviction segment of the trade.

Selective long — Batang SEZ industrial tenants. The Grand Batang City / Batang Industropolis SEZ offers the most coherent combination of infrastructure readiness, government support, tax incentives, and logistics connectivity among Indonesia's newer industrial zones. Investors considering Indonesia market entry should benchmark Batang against Vietnam's Long An and Binh Duong provinces — the infrastructure gap has narrowed materially since 2022. Early-mover industrial tenant positions in the SEZ (particularly battery components, medical devices, and industrial packaging) offer multi-year cost advantages before land pricing reflects full demand.

Monitor — halal food processing. The October 2026 mandatory halal certification deadline will create disruption and opportunity in equal measure. Companies with established halal supply chain infrastructure will gain market access advantages; non-compliant players will face product bans or costly reformulations. International food processors entering the Indonesian market now — via acquisition of local halal-certified producers — are buying regulatory compliance plus domestic distribution infrastructure at prices that will rise after the enforcement date passes.

Risk management — China FDI exposure. The nickel quota dispute of 2026 signals that the Prabowo administration is willing to impose unilateral restrictions on Chinese industrial investors when political necessity demands. Companies with supply chains dependent on IMIP-processed nickel should conduct scenario analysis for quota reductions and maintain alternative sourcing relationships (Philippines, Madagascar, Canada). The resource nationalism rhetoric is genuine, not performative.

Short-term caution — textiles and garments. Indonesia's upstream textile sector is facing a structural competitiveness crisis: 70–80 percent of machinery is over 25 years old, production

declined approximately 5 percent year-on-year in H1 2026, and Chinese competition — backed by over 700 identified government subsidy interventions — is intensifying. The sector directly employs 2.5 million workers, creating high political sensitivity around any rationalisation. Investors in the sector should price in continued margin pressure and policy volatility.

X. Data Sources

All figures in this report are drawn from live web sources accessed August 2026. No training data has been used for any market figure.

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